

[Islamabad High Court]

Judges: Honourable Mr. Justice Arbab Muhammad Tahir



Muhammad Usman-

versus

-Fop etc

**ARBITRARY FREEZING OF BANK ACCOUNTS AND PROTECTION OF
PROPRIETARY RIGHTS.**

W.P. No. 1553 of 2026

decided on NaNth Invalid Date, NaN.

(a) Constitution of the Islamic Republic of Pakistan, 1973---S.Article 199, S.Article 23, S.Article 24, S.Article 4, S.Article 10A; Prevention of Electronic Crimes Act, 2016; National Cyber Crime Investigation Agency (Functions) Rules, 2025; Cost of Litigation Act, 2017---Arbitrary freezing of bank accounts and protection of proprietary rights.---

The Court held that the arbitrary restriction imposed by the bank without lawful authorization was an unjustified interference with the petitioner's proprietary and commercial rights, warranting the disposal of the petition with litigation costs awarded against the bank.

Amounts deposited in a bank account constitute property under Articles 23 and 24 of the Constitution, and no person can be deprived of access to their property except in accordance with law. Financial institutions owe their customers obligations of fidelity and due care; any restriction upon the operation of an account cannot be founded on internal apprehensions, speculative concerns, or unauthorized precautionary measures, but must trace its source to express legal authority.

Relied upon: Muhammad Uzair Anwar v. Federation of Pakistan and others ICA No.362 of 2025; Muhammad Uzair Anwar v. Federation of Pakistan and others

[illegible]

[illegible]

Ark is generating your headnote...

Form No: HCJD/C-121

ORDER SHEET

IN THE ISLAMABAD HIGH COURT, ISLAMABAD (JUDICIAL DEPARTMENT)

W.P. No.1553-2026

Muhammad Usman

Versus

Federation of Pakistan and others

Petitioner by : Ms Tanzeela Maryam, Advocate.

Respondents by : Syed Zain Ul Abideen, Advocate. Mr M. Sajid Khan Tanoli,
D.A.G.

Mr Mehmood Nazir, Law Officer, SBP.

Mr Amir, Inspector, NCCIA.

Date of Hearing : 21.05.2026

Arbab Muhammad Tahir, J.- The petitioner (*Muhammad Usman*), through the instant petition under Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973 impugns the freezing of his bank account by the respondent No.4-Bank Islamic Pakistan Limited (hereinafter “Bank”) at the instructions of the respondent No.2-National Cyber Crime Investigation Agency (hereinafter “NCCIA”).

2. The petitioner maintains his bank account IBAN: PK65BKIP030290004871007 at Bank Islami Pakistan Limited. An inquiry i.e. No.1283/2024 was registered at the NCCIA pursuant to complaint of *Shakil Adnan Malik* on the allegations of financial fraud, which related to one *Mohammad Omar*. Therefore, the NCCIA forwarded email requests to the Bank for provision of record of the said

Mohammad Omar and his family members. The Bank admits that such request was never for blocking or freezing of the bank account, yet it imposed debit block on the bank account of the petitioner

Page - 2

W.P. No.1553-2026

out of abandoned precaution. The version of the Bank in its written report is reproduced below.-

*“That in compliance with the lawful request of FIA, the Answering Respondent provided the requisite bank record to FIA. However, owing to a **bonafide error**, the Petitioner’s account was inadvertently attached/blocked by the Answering Respondent while complying with the said request. In past, many a cases have been reported where the Banks have been found to not have acted in good faith when upon acquiring knowledge about ongoing investigations (criminal) the Bank did not attach the accounts. In such circumstances, 3rd parties withdrew the amounts and subsequently the Banks have been held responsible for not taking precautions.”*

Likewise, the NCCIA in its written report has mentioned that *“No request was forwarded to the petitioner’s Bank to freeze the account of the petitioner”*.

3. While admitting their mistake, the respondents have placed on record printouts of email communications to demonstrate that the debit block imposed upon the petitioner’s bank account has subsequently been removed. Nevertheless, the controversy raised through the instant petition cannot be treated as inconsequential merely because the unlawful restraint has been withdrawn. The facts of the present case are reflective of the alarming casualness with which the proprietary rights of citizens are interfered with by financial institutions. Amounts deposited in a bank account constitute property within the meaning of Articles 23 and 24 of the Constitution. No person can be deprived of access to his property except strictly in accordance with law. A bank, while holding deposits of its customers is burdened with the obligations of fidelity, due care and lawful dealing. Therefore, any arbitrary freezing of account, debit restriction or restraint upon operation of a bank account, particularly where

Page - 3

W.P. No.1553-2026

admittedly no lawful direction for such freezing was ever issued by a competent authority, amounts to unjustified interference with the proprietary and commercial rights of a citizen.

4. A Division Bench of this Court in the reportable judgment rendered in *Muhammad Uzair Anwar v. Federation of Pakistan and others* (ICA No.362 of 2025) has already examined the scheme of the Prevention of Electronic Crimes Act, 2016, as amended, alongside the National Cyber Crime Investigation Agency (Functions) Rules, 2025, and categorically held that the NCCIA possesses no lawful authority to direct freezing, cautioning or attachment of bank accounts or

properties of citizens in the absence of express sanction in the parent statute. The present case travels a step further, inasmuch as even the respondent-NCCIA admits that no request whatsoever was ever made for freezing or debit

blocking of the petitioner's account, yet the respondent Bank, acting upon self-created assumptions and purported "precaution", deprived the petitioner from operating his own account. Such conduct not only falls outside the domain of lawful banking practice, but also offends the settled constitutional principle that deprivation of property and restriction upon financial autonomy must always be in accordance with law.

5. Under Article 23 of the Constitution, every citizen possesses the right to acquire, hold and dispose of property, while Article 24 mandates that no person shall be deprived of his property save in accordance with law. Likewise, Article 4 guarantees the right of every individual to be dealt with strictly in accordance with law, whereas Article 10A guarantees the principles of due process and fair treatment wherever civil consequences ensue. Restriction upon operation of a bank account not only affects proprietary interests, but may

Page - 4

W.P. No.1553-2026

simultaneously impair business activities, discharge of contractual obligations, access to healthcare, educational expenses and ordinary sustenance of daily life. Therefore, before imposing any restraint upon operation of an account, banks and investigating agencies both must ensure the existence of lawful authority, procedural fairness and reasonable justification.

6. Financial institutions, while dealing with deposits and financial assets of citizens, are expected to act with utmost fidelity, caution and responsibility. Cooperation with investigating agencies in lawful matters is undoubtedly necessary for prevention and detection of financial crimes; however, such cooperation cannot justify assumption of powers which the law itself does not confer. A restriction upon operation of a citizen's bank account cannot be founded merely upon internal apprehensions, administrative caution or speculative concerns. Any deprivation touching proprietary rights must necessarily trace its source to express legal authority.

7. In the present case, the respondent-NCCIA has itself acknowledged that no direction was ever issued for freezing or debit-blocking of the petitioner's account. The inquiry admittedly related to another individual, yet the petitioner was deprived of access to his own funds solely because the respondent-Bank considered it prudent to act beyond the scope of the communication received from the investigating agency. Such action, though subsequently rectified, reflects the need for greater institutional care and regulatory clarity in matters affecting financial autonomy and proprietary rights of citizens.

Page - 5

W.P. No.1553-2026

8. It is an undeniable reality that modern economic life is rapidly transitioning from physical currency towards digital and electronic modes of finance/payments. Citizens are increasingly encouraged by the State, financial regulators and banking institutions to utilize online banking systems, digital wallets and electronic transactions in place of hard cash. In such

circumstances, public confidence in the banking system is of utmost significance. A citizen who deposits his money in a bank does so with the legitimate expectation that his property shall remain secure, accessible and protected from arbitrary interference. Any unjustified freezing, debit-blocking or operational restraint upon a bank account, particularly without lawful authority, is therefore capable of seriously undermining public confidence in the banking framework and weakening the trust reposed by citizens in financial institutions.

9. The State Bank of Pakistan, being the regulator entrusted with supervision of banking institutions operating within the country, bears an important responsibility in maintaining public confidence in the banking system. As digital banking and electronic financial transactions continue to expand, citizens must feel assured that their deposits and financial assets shall not become vulnerable to arbitrary operational restraints unsupported by law. It is, therefore, appropriate that respondent No.3-State Bank of Pakistan examines the present matter and consider issuance of suitable circulars, advisories or regulatory guidelines to all scheduled banks and financial institutions emphasizing that no debit block, operational restraint or freezing of bank account shall be imposed except strictly in accordance with law, pursuant to lawful authorization and after due verification. Appropriate internal compliance mechanisms may also be evolved to ensure that inadvertent or precautionary restrictions unsupported by

Page - 6

W.P. No.1553-2026

lawful authority do not unnecessarily prejudice account holders.

10. As the debit block imposed upon the petitioner's bank account has already been removed during pendency of these proceedings, no further direction in that regard is required. Nevertheless, the observations recorded herein shall guide the respondents in future conduct relating to operational restraints upon bank accounts of citizens. Admittedly, the casual and unwarranted conduct of the respondent-Bank compelled the petitioner to invoke the constitutional jurisdiction of this Court and burdened him with litigation expenses, therefore, the respondent Bank shall bear the cost of litigation to the extent of petitioner. The petitioner has filed the affidavit of costs under the Cost of Litigation Act, 2017 showing that an amount of Rs.300,000/- has been incurred on the present litigation. The said amount shall be paid to the petitioner by the respondent Bank within a period of one month from the date of this judgment; compliance report whereof shall be transmitted through the Registrar of this Court for perusal in chambers.

11. Petition stands disposed-of in above terms. Copy of this order shall be transmitted to the respondents for compliance.

(ARBAB MUHAMMAD TAHIR)

JUDGE

Announced in the open Court on .06.2026.

JUDGE

Approved for reporting.

Luqman Khan/*

